result, Horizon Lines had a substantial share of the market. On the negative side, though, the company also had its share of debt and a number of older vessels that needed to be replaced. My thinking at the time was that I was investing in a company that had a significant moat around it and that it would generate a lot of free cash flow, enabling it to deleverage. I started buying shares in the mid-20s, and in 2007, the stock reached the mid-30s. However, it was about this time that Horizon Lines' shipping volumes began to weaken, which caused the share price to decline, as did renewed market unease over the company's need to replace its older ships. I became concerned about the Horizon Lines' ability to generate a meaningful amount of free cash flow, and without it, I was afraid the company's debt load could sink it. Fortunately, I got out above my average cost, and in the process, I learned another valuable lesson about the danger of investing in overleveraged companies. The stock today trades at 24 cents per share!

I assume the best value opportunities arise in the most extreme bear markets. If you identify a stock as a buy in that type of market environment, how do you handle the timing of entry?

No bells sound when things get better. I'll never forget speaking with the CFO of Measurement Specialties during the downturn that began in late 2008. A large part of their sales was to auto OEMs. When car sales in the U.S. and around the world plummeted, Measurement's customers chose to draw down their inventories instead of ordering from them and other auto suppliers. As a result, the CFO told me that the phone didn't ring for about a month; their auto customers just went quiet. Unless I assumed that no one was going to buy a car again, I knew that this situation had to change at some point. The company had earned $1.20 a share in 2007. I began buying stock at $3.79 per share in April 2009 and bought it all the way up through the $7s. I sold most of my stock in the $14s in early 2010, which was nearly triple my average entry price, but still far too early—the stock eventually reached a peak of $38.98 in mid-2011.

Many value stocks stay undervalued for a long time. How do you avoid the value trap?